

So you're basically using charts as a supplemental tool.

Yes, the core is always fundamental. There is, however, one exception where a trade might be initiated because of charts. If a stock is extremely oversold—say, the RSI is at a three-year low—it will get me to take a closer look at it.⁸ Normally, if a stock is that brutalized, it means that whatever is killing it is probably already in the price. RSI doesn't work as an overbought indicator because stocks can remain overbought for a very long time. But a stock being extremely oversold is usually an acute phenomenon that lasts for only a few weeks.

So you're saying that RSI is only useful in one direction.

Correct, which is oversold. If the RSI is extremely oversold, I will then look at the fundamentals to see if whatever has caused the stock to be sold off that sharply is already discounted by the price. If it is, then I will buy.

Is your approach totally analysis driven, or does gut feel ever play a role?

Gut feel is actually crucial. If something isn't acting right, it is an indication that you need to go back and recheck the fundamentals. I currently have a partial short position in the IBEX, the Spanish stock index. I was thinking of substantially increasing my position. Then yesterday, several economic statistics were released. They were all awful, but the market went up. So I scurried away.

You covered your position?

No, I just didn't add to it because the algorithmic funds were clearly still in control of the market. It would be insane for me to have a large position because I could get destroyed before the market turns down. I have to wait before I short Spain aggressively. My gut feel was, "Ugh, this is not acting right." But I'm not going to cover my partial position because fundamentally I still think I am right.

What advice would you give to stock investors?

You have to be an expert in what you invest in. You need to understand why you are invested. If you don't understand why you are in a trade, you won't understand when it is the right time to sell, which means you